

Pillow Talk - *A Boutique Hotel Investing Brief*

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— FROM THE FRONT DESK



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I've spent the last few months living out of a suitcase, drinking questionable hotel coffee, and touring boutique hotels across the country.

Some were incredible. Some...had "character."

After walking properties, underwriting deals, and talking with owners, brokers, lenders, and investors, two things have become obvious:

The best hotel opportunities rarely look perfect on paper. And hotels that ignore guest experience, SEO, and yes— **quality toilet paper**—are getting left behind.

That's why we created **Pillow Talk**—a monthly look at what we're actually seeing in the boutique hospitality world.

Tax Corner: Why Hotels Can Be So Tax Efficient

Many investors think of hotels as an operating business. The IRS also sees them as a collection of assets.

Instead of depreciating everything over 39 years, a cost segregation study identifies assets like furniture, fixtures, and equipment (which hotels have a lot of), as well as flooring, site improvements, and other components that may qualify for shorter depreciation schedules. For qualifying investors, that can accelerate a meaningful portion of depreciation into the first years of ownership.

It's one of the reasons hotels can offer a combination of cash flow, appreciation, and tax efficiency that's difficult to replicate in many other commercial real estate asset classes.

— DEAL BREAKDOWN

A Great Hotel Wasn't Always a Great Investment

This month's spotlight is a 13-room oceanfront hotel in Coastal Massachusetts.

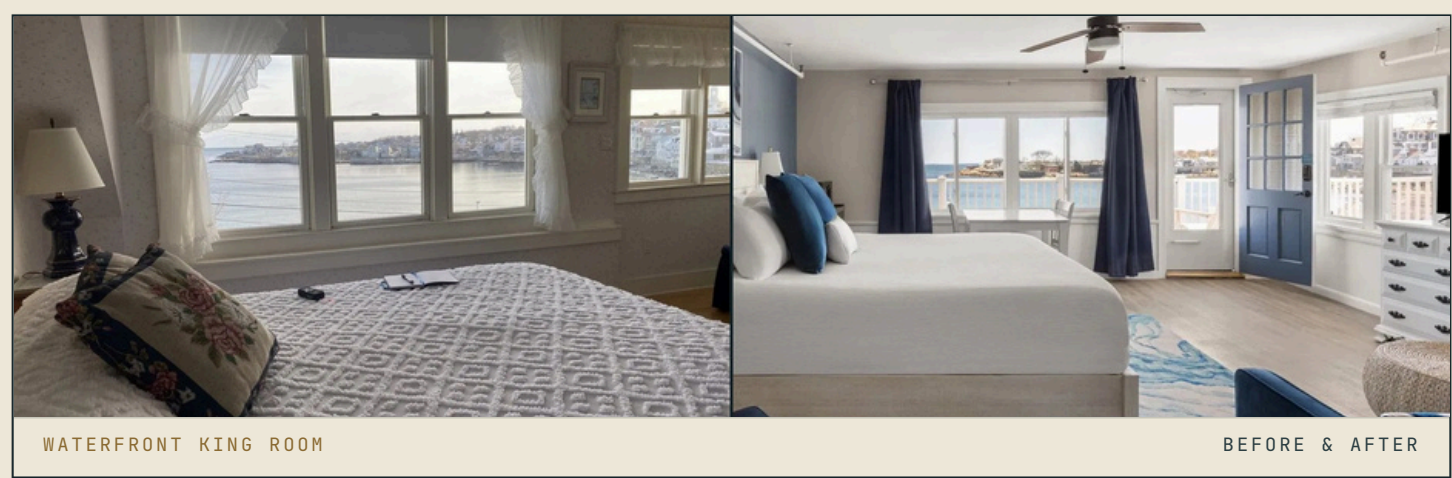
On paper, it looked like another small independent hotel.

In reality, it was an opportunity to create value.

After renovations, repositioning, improved revenue management, and a better guest experience, the results were significant.

— CASE STUDY SPOTLIGHT

One project continues to reinforce why we believe so strongly in this approach.



REPOSITIONING • COASTAL NEW ENGLAND	
13-Room Oceanfront Hotel	
Coastal Massachusetts	
Acquisition Price	\$2.25M
Total Capital Invested	\$1.0M
NOI, Year One	More Than 2x
Appraised Value	\$5.45M
Investor Capital Returned	100% via Refinance
Ownership retained the asset and ongoing cash flow throughout.	

That's the type of value creation we're looking for, not simply buying real estate, but transforming underperforming assets into differentiated hospitality experiences.

— TWO THINGS WE'VE LEARNED

01 **Great Operators Create Great Assets.**

We've toured hotels with nearly identical locations, room counts, and amenities that produced completely different financial results.

The difference wasn't the building.

It was execution. Revenue management. Branding. Guest experience. Operations.

Hotels are one of the few real estate asset classes where better operators can materially create value.

02 More Sellers Are Getting Creative.

We're seeing more owners willing to discuss seller financing, flexible structures, and creative deal terms than we were even a year ago.

That doesn't replace good underwriting—but it can create opportunities where traditional financing alone doesn't.

— THINGS WE HEARD THIS MONTH

"We're full every Saturday."

Cool.

What about the other 313 nights?

"We've been meaning to update the room photos."

When was the last time you had them done?

"Hmm - I took them on my iPhone 12, so however long ago that was."

Who runs your SEO?

"Oh, we don't really have a CEO, it's just me and my husband."

— WADE'S TAKE

People spend a lot of time asking, **"What's the perfect hotel to buy?"** I think it's the wrong question. I'd rather buy a hotel with operational upside than one that's already been optimized. Great operations can transform a good property into a great investment. It's much harder to improve a property that's already firing on all cylinders.

— BEHIND HOTEL TURNKEY

One question we hear almost every week: **"So...what exactly is Hotel Turnkey?"**

We're not a fund. We're not a syndication. Our clients own 100% of the real estate and business.

We simply help investors find better opportunities, underwrite them, reposition them, and operate them after closing. Think of us as your acquisition and operating partner—not your capital partner.

— Last Key (Closing Thought)

If this issue made you think, challenged an assumption, or made you chuckle, then it did its job. Or, if you no longer want to see my name or hear my voice ever again, I guess that's cool too. We'll see you next month.

P.S. - I will be in Miami for the Independent Hotel Show in September. If you will be there, let me know. I'd love to buy you a coffee... or a Miami Vice.

[Discuss Hotel Acquisitions or Operations](#) →

Or just reply, I read every response.

Until next time, Wade

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